UNIVERSITÀ DEGLI STUDI DI BERGAMO
Dipartimento di Scienze Aziendali

IAS 19
Employee Benefits

Master Degree in
ACCOUNTING, GOVERNANCE AND SUSTAINABILITY

International and Advanced Accounting
179009-ENG

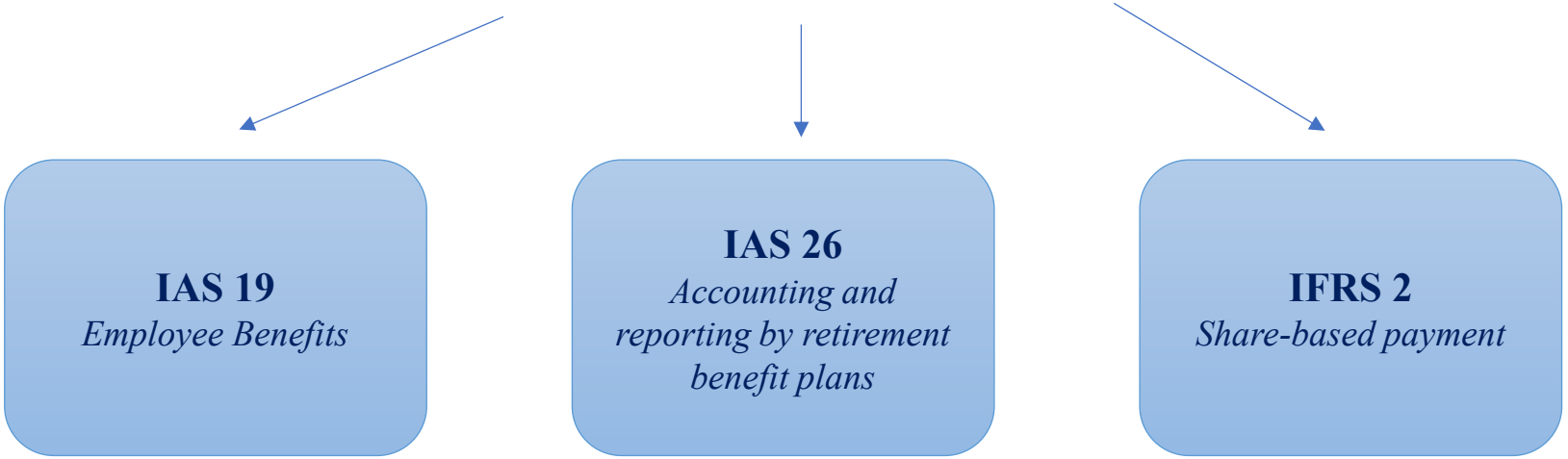
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SEDE
Bergamo

ANNO ACCADEMICO
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Introduction

Personnel costs are mainly described within these accounting principles



IAS 19 – *Objective*

par. 1

The objective of this Standard is to prescribe the **accounting and disclosure** for **employee benefits** [IAS 19.1].

Employee benefits are all forms of consideration given by an entity in exchange for service rendered by employees or for the termination of employment. [IAS 19.8]

The Standard requires an entity to recognise [IAS 19.1]:

a) a *liability* when an employee has provided service in exchange for employee benefits to be paid **in the future**; and;

b) an *expense* when the entity consumes the economic benefit arising from service provided by an employee in exchange for employee benefits.

IAS 19 – *Scope*

par. 2-7

This Standard shall be applied by an employer in accounting for all employee benefits, except those to which IFRS 2 *Share-based Payment applies*. [IAS 19.2]

This Standard does not deal with reporting by employee benefit plans (IAS 26 *Accounting and Reporting by Retirement Benefit Plans*). [IAS 19.3]

The employee benefits to which this Standard applies include those provided: [IAS 19.4]

- ✓ **under formal plans or other formal agreements** between an entity and individual employees, groups of employees or their representatives;
- ✓ **under legislative requirements**, or through industry arrangements, whereby entities are required to contribute to national, state, industry or other multi-employer plans; or
- ✓ **by those informal practices** that give rise to a constructive obligation. Informal practices give rise to a constructive obligation where the entity has no realistic alternative but to pay employee benefits. An example of a constructive obligation is where a change in the entity's informal practices would cause unacceptable damage to its relationship with employees.

IAS 19 – *Scope*

par. 2-7

Employee benefits include: [IAS 19.5]

Short-term employee benefits, such as the following, if expected to be *settled wholly before twelve months* after the end of the annual reporting period in which the employees render the related services:

- ✓ *wages, salaries and social security contributions*;
- ✓ *paid annual leave and paid sick leave*;
- ✓ *profit-sharing and bonuses*; and
- ✓ *non-monetary benefits* (such as medical care, housing, cars and free or subsidised goods or services) for current employees.

Post-employment benefits, such as the following:

- ✓ *retirement benefits* (e.g. pensions and lump sum payments on retirement); and
- ✓ *other post-employment benefits*, such as post-employment life insurance and post-employment medical care.

Post-employment benefits are employee benefits (other than termination benefits and short-term employee benefits) *that are payable after the completion of employment*. [IAS 19.8]

IAS 19 – *Scope*

par. 2-7

Employee benefits include: [IAS 19.5]

Other long-term employee benefits, such as the following:

- ✓ *long-term paid absences* such as long-service leave or sabbatical leave;
- ✓ *jubilee or other long-service benefits*; and
- ✓ *long-term disability benefits*.

Other long-term employee benefits are all employee benefits other than short-term employee benefits, post-employment benefits and termination benefits. [IAS 19.8]

Termination benefits.

Termination benefits are employee benefits provided in exchange for the termination of an employee's employment as a result of either:

- ✓ an entity's decision to terminate an employee's employment before the normal retirement date; or
- ✓ an employee's decision to accept an offer of benefits in exchange for the termination of employment. [IAS 19.8]

IAS 19 – *Short-term employee benefits*

par. 9-25

Short-term employee benefits include items such as the following, if expected **to be settled wholly before twelve months after the end of the annual reporting period in which the employees render the related services**. [IAS 19.9]

They can be distinguished

- *Wages, salaries and social security contributions*
- *Paid annual leave and paid sick leave*
- *Profit-sharing and bonuses*
- *Non-monetary benefits (such as medical care, housing, cars and free or subsidised goods or services) for current employees*

IAS 19 – *Short-term employee benefits* *par. 9-25*

Recognition and measurement

When an employee has rendered service to an entity during an accounting period, the entity shall recognise the **undiscounted amount of short-term employee benefits** expected to be paid in exchange for that service: [IAS 19.11]

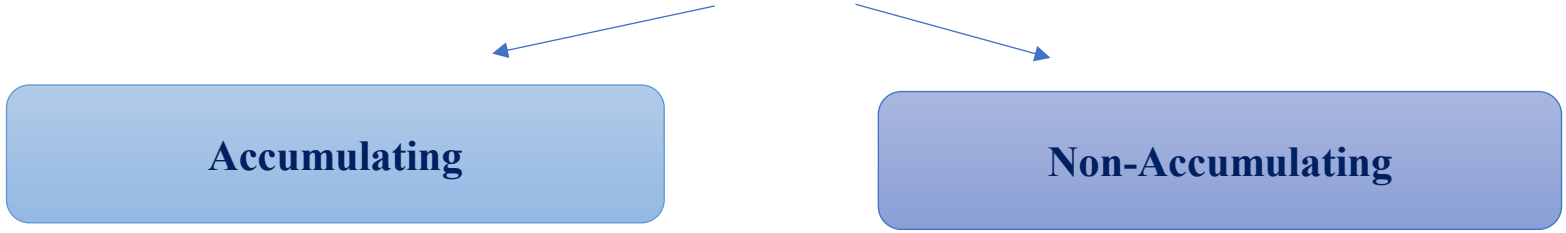
- ✓ as a *liability* (accrued expense), **after deducting any amount already paid**. If the amount already paid exceeds the undiscounted amount of the benefits, an entity shall recognise that excess as an asset (prepaid expense) to the extent that the prepayment will lead to, for example, a reduction in future payments or a cash refund.

- ✓ as an *expense*, unless another IFRS requires or permits the inclusion of the benefits in the cost of an asset (see, for example, IAS 2 *Inventories* and IAS 16 *Property, Plant and Equipment*).

IAS 19 – *Short-term employee benefits:* *par. 9-25*

Short-term paid absences

An entity may pay employees for absence for various reasons including holidays, sickness and short-term disability, maternity or paternity, jury service and military service. Entitlement to paid absences falls into two categories: [IAS 19.14]



IAS 19 – *Short-term employee benefits:* *par. 9-25*

Short-term paid absences

An entity shall recognise the expected cost of short-term employee benefits in the form of paid absences under paragraph 11 as follows: [IAS 19.13] a) in the case of **accumulating paid absences**, when the employees render service that increases their entitlement to future paid absences.	An entity shall recognise the expected cost of short-term employee benefits in the form of paid absences under paragraph 11 as follows: [IAS 19.13] b) in the case of **non-accumulating paid absences**, when the absences occur.

Cont'd

IAS 19 – *Short-term employee benefits:* *par. 9-25*

Short-term paid absences

Accumulating paid absences are those **that are carried forward** and can be used in future periods if the current period's entitlement is not used in full. Accumulating paid absences may be either **vesting** (in other words, employees are entitled to a cash payment for unused entitlement on leaving the entity) **or non-vesting** (when employees are not entitled to a cash payment for unused entitlement on leaving). **An obligation arises as employees render service that increases their entitlement to future paid absences**. **The obligation exists, and is recognised, even if the paid absences are non-vesting**, although the possibility that employees may leave before they use an accumulated non-vesting entitlement affects the measurement of that obligation. [IAS 19.15] An entity shall measure the expected cost of accumulating paid absences as the **additional amount** that the entity expects to pay as a result of the unused entitlement that has accumulated at the end of the reporting period. [IAS 19.16]	**Non-accumulating paid absences do not carry forward**: they lapse if the current period's entitlement is not used in full and **do not entitle employees to a cash payment for unused entitlement on leaving the entity**. This is commonly the case for *sick pay* (to the extent that unused past entitlement does not increase future entitlement), *maternity or paternity leave and paid absences for jury service or military service*. **An entity recognises no liability or expense until the time of the absence**, because employee service does not increase the amount of the benefit. [IAS 19.18]

IAS 19 – *Short-term employee benefits:* *par. 9-25*

Short-term paid absences – example

The Alfa entity has **5 employees** and each of them is entitled to **20 days of paid leave** per year, with a cost of **50,00 Euro/day**. Unused leave shall be carried forward in the subsequent period.

All 5 employees work for the entity for the entire year and are therefore entitled to their 20 days of leave. The cost to be included in the income statement (in the form of salary) is as follows:

5 employees * 20 days * Euro 50,00 = Euro 5.000,00

4 employees use all the days of leave to which they are entitled at the end of the reporting period, while the other, having used only 16 days, has the right to carry forward the remaining **4 days in the subsequent period**. A liability must therefore be recognized, at the end of the reporting period, equal to:

1 employee * 4 days * Euro 50,00 = Euro 200,00

IAS 19 – *Short-term employee benefits:* *par. 9-25*

Profit-sharing and bonus plans

An entity shall recognise the expected cost of **profit-sharing** and **bonus payments** under paragraph 11 when, and only when: [IAS 19.19]

a) the entity has a **present** legal or constructive **obligation** to make such payments as a result of past events; and

A *present obligation* exists when, and only when, the entity has no realistic alternative but to make the payments. [IAS 19.19]

b) a **reliable estimate** of the obligation can be made.

An entity can make a *reliable estimate* of its legal or constructive obligation under a profit-sharing or bonus plan when, and only when:

a) the formal terms of the plan contain a formula for determining the amount of the benefit;

b) the entity determines the amounts to be paid before the financial statements are authorised for issue; or

c) past practice gives clear evidence of the amount of the entity's constructive obligation. [IAS 19.22]

IAS 19 – *Short-term employee benefits:* *par. 9-25*

Profit-sharing and bonus plans

Under some **profit-sharing plans**, employees receive a share of the profit **only if they remain with the entity for a specified period**.

Such plans create a constructive obligation as employees render service that increases the amount to be paid if they remain in service until the end of the specified period.

The measurement of such constructive obligations reflects the possibility that some employees may leave without receiving profit-sharing payments.

[IAS 19.20]

IAS 19 – *Short-term employee benefits:* *par. 9-25*

Profit-sharing and bonus plans – example

A profit-sharing plan requires an entity to pay a specified proportion of its profit for the year to employees who serve throughout the year.

If no employees leave during the year, *the total profit-sharing payments for the year will be 3% of profit*.

The entity **estimates** that *staff **turnover** will reduce the payments to 2,5 % of profit*.

The entity recognises **a liability and an expense of 2,5 % of profit**.

IAS 19 – *Post-employment benefits* *par. 26-49*

Post-employment benefits include items such as the following: [IAS 19.26]

a) **retirement benefits** (e.g. pensions and lump sum payments on retirement); and

b) **other post-employment benefits**, such as post-employment life insurance and post-employment medical care.

Arrangements whereby an entity provides post-employment benefits are **post-employment benefit plans**. An entity applies this Standard to all such arrangements whether or not they involve the establishment of a separate entity to receive contributions and to pay benefits.

Post-employment benefit plans are classified as either defined **contribution plans** or **defined benefit plans**, depending on the economic substance of the plan as derived from its principal terms and conditions. [IAS 19.27]

IAS 19 – *Post-employment benefits* *par. 26-49*

	Characteristics	Accounting
Defined benefit plans	Under defined benefit plans: [IAS 19.30] ✓ **the entity's obligation is to provide the agreed benefits to current and former employees**; and ✓ **actuarial risk (that benefits will cost more than expected) and investment risk fall, in substance, on the entity**. If actuarial or investment experience are worse than expected, the entity's obligation may be increased. The entity has to **determine the present value of the obligations** relating to defined benefit plans **and the *fair value* of the assets held to service the plan** on a sufficiently regular basis.	Accounting requires **complex actuarial computations** (e.g. ***demographic*** and ***financial assumptions***) to **estimate** the amount that will be paid to employees (and also the time of payment).

IAS 19 – *Post-employment benefits* *par. 26-49*

	Characteristics	Accounting
Defined contribution plans	Under defined contribution plans [IAS 19.28] ✓ **the entity's legal or constructive obligation is limited to the amount that it agrees to contribute to the fund**. Thus, the amount of the post-employment benefits received by the employee is determined by the amount of contributions paid by an entity (and perhaps also the employee) to a post-employment benefit plan or to an insurance company, together with investment returns arising from the contributions. ✓ In consequence, **actuarial risk** (that benefits will be less than expected) **and investment risk** (that assets invested will be insufficient to meet expected benefits) **fall, in substance, on the employee**.	The cost for the entity is represented by the **contributions accrued during the reporting period**.

IAS 19 – *Post-employment benefits – TFR* *par. 26-49*

The TFR Fund *(Trattamento di Fine Rapporto – Severance Pay)* falls within the discipline of IAS 19 "Employee Benefits" and, as confirmed by IFRIC, it was comparable (before the pension reform) to a **post-employment benefit**, such as **defined benefit plans**.

A complex obligation must be entered in the financial statements that takes into account **demographic** and **financial variables** that estimate the amount to be paid at the time of termination of the employment relationship.

This amount must be **discounted** to take into account the time that will pass before the actual payment through the so-called "**Projected unit credit method"** which considers each individual period of service as giving rise to an additional unit of TFR and each unit, separately, to build the final obligation.

IAS 19 – *Post-employment benefits – TFR* *par. 26-49*

Actuarial assumptions are an entity's best estimates of the variables that will determine the ultimate cost of providing post-employment benefits.

Actuarial assumptions comprise: [IAS 19.76]

a) ***demographic assumptions*** about the future characteristics of current and former employees (and their dependants) who are eligible for benefits. Demographic assumptions deal with matters such as:

- *mortality;*
- *rates of employee turnover, disability and early retirement;*
- *the proportion of plan members with dependants who will be eligible for benefits;*
- *the proportion of plan members who will select each form of payment option available under the plan terms; and*
- *claim rates under medical plans*.

Cont'd

IAS 19 – *Post-employment benefits – TFR* *par. 26-49*

b) financial assumptions, dealing with items such as:

- *the discount rate;*
- *benefit levels, excluding any cost of the benefits to be met by employees, and future salary;*
- *in the case of medical benefits, future medical costs, including claim handling costs (i.e. the costs that will be incurred in processing and resolving claims, including legal and adjuster's fees); and*
- *taxes payable by the plan on contributions relating to service before the reporting date or on benefits resulting from that service.*

IAS 19 – *Post-employment benefits – TFR* *par. 26-49*

Accounting for **defined benefit plans** is **complex** because actuarial assumptions are required to measure the obligation and the expense and **there is a possibility of actuarial gains and losses**. Moreover, the **obligations are measured on a discounted basis** because they may be settled many years after the employees render the related service. [IAS 19.55]

Defined benefit plans may be unfunded, or they may be wholly or partly funded by contributions by an entity, and sometimes its employees, into an entity, or fund, that is legally separate from the reporting entity and from which the employee benefits are paid. The payment of funded benefits when they fall due depends not only on the financial position and the investment performance of the fund but also on an entity's ability, and willingness, to make good any shortfall in the fund's assets. Therefore, the entity is, in substance, underwriting the actuarial and investment risks associated with the plan. Consequently, the expense recognised for a defined benefit plan is not necessarily the amount of the contribution due for the period. [IAS 19.56]

IAS 19 – *Post-employment benefits – TFR* *par. 26-49*

Accounting by an entity for **defined benefit plans involves the following steps**: [IAS 19.57]

a) determining the **deficit or surplus**. This involves:
   - using an actuarial technique, **the projected unit credit method**, to make a reliable estimate of the ultimate cost to the entity of the benefit that employees have earned in return for their service in the current and prior periods. This requires an entity to determine how much benefit is attributable to the current and prior periods and to make estimates (actuarial assumptions) about demographic variables (such as employee turnover and mortality) and financial variables (such as future increases in salaries and medical costs) that will affect the cost of the benefit.
   - **discounting that benefit in order to determine the present value of the defined benefit obligation and the current service cost**.
   - **deducting the fair value of any plan assets** from the present value of the defined benefit obligation.

b) determining the amount of the **net defined benefit liability** (asset) as the amount of the deficit or surplus determined in (a), adjusted for any effect of limiting a net defined benefit asset to the asset ceiling.

Cont'd

IAS 19 – *Post-employment benefits – TFR* *par. 26-49*

c) determining **amounts to be recognised in profit or loss**:

- **current service cost**.
- **any past service cost and gain or loss on settlement**.
- **net interest** on the net defined benefit liability (asset).

d) determining the **remeasurements of the net defined benefit liability** (asset), to be **recognised in other comprehensive income**, comprising:

- **actuarial gains and losses**;
- **return on plan assets**, excluding amounts included in net interest on the net defined benefit liability (asset); and
- any change in the effect of the asset ceiling, excluding amounts included in net interest on the net defined benefit liability (asset).

Where an entity has more than one defined benefit plan, the entity applies these procedures for each material plan separately.

IAS 19 – *Post-employment benefits – TFR* *par. 26-49*

*Summary table: Elements of the **service cost** for a defined benefit plan*

	Contributions to finance the plan	**Service cost of the plan**
"*Regular*" components	Regular contribution	- Service cost per benefit of the year; - Interest cost; - Expected return on assets to support the plan.
"*Special*" components	Additional contribution or reduction of future contributions	- Recognised actuarial gains and losses; - Recognised past service cost.

IAS 19 – *Post-employment benefits – TFR* *par. 26-49*

TFR determination – useful definitions

Defined Benefit Obligation "DBO"	Total amount of the obligation given by the sum of: • Liabilities at prior 31/12; • Financial charges/interest cost; • Current service cost; +/- Cumulated actuarial gains and losses
+ \ −	
Actuarial gains and losses	Adjustment effects resulting from the reformulation of prior actuarial assumptions
=	
Net liability	DBO net of unrecognised actuarial gains and losses

Please Note: For the determination of TFR, before IAS 19 reform included in Regulation (EU) No 475/2012, possibility of using the "Corridor Approach" – see slides "amendments to IAS 19".

TFR Reform in Italy

The reform of supplementary pension (D.Lgs. 5 December 2005, n. 252) determined the following:

- **Accrued TFR shares until 31.12.2006 remain in the company and the old discipline applies to them**;
- **The shares accrued from 1 January 2007 must be allocated to forms of supplementary pension or be maintained in the company**.

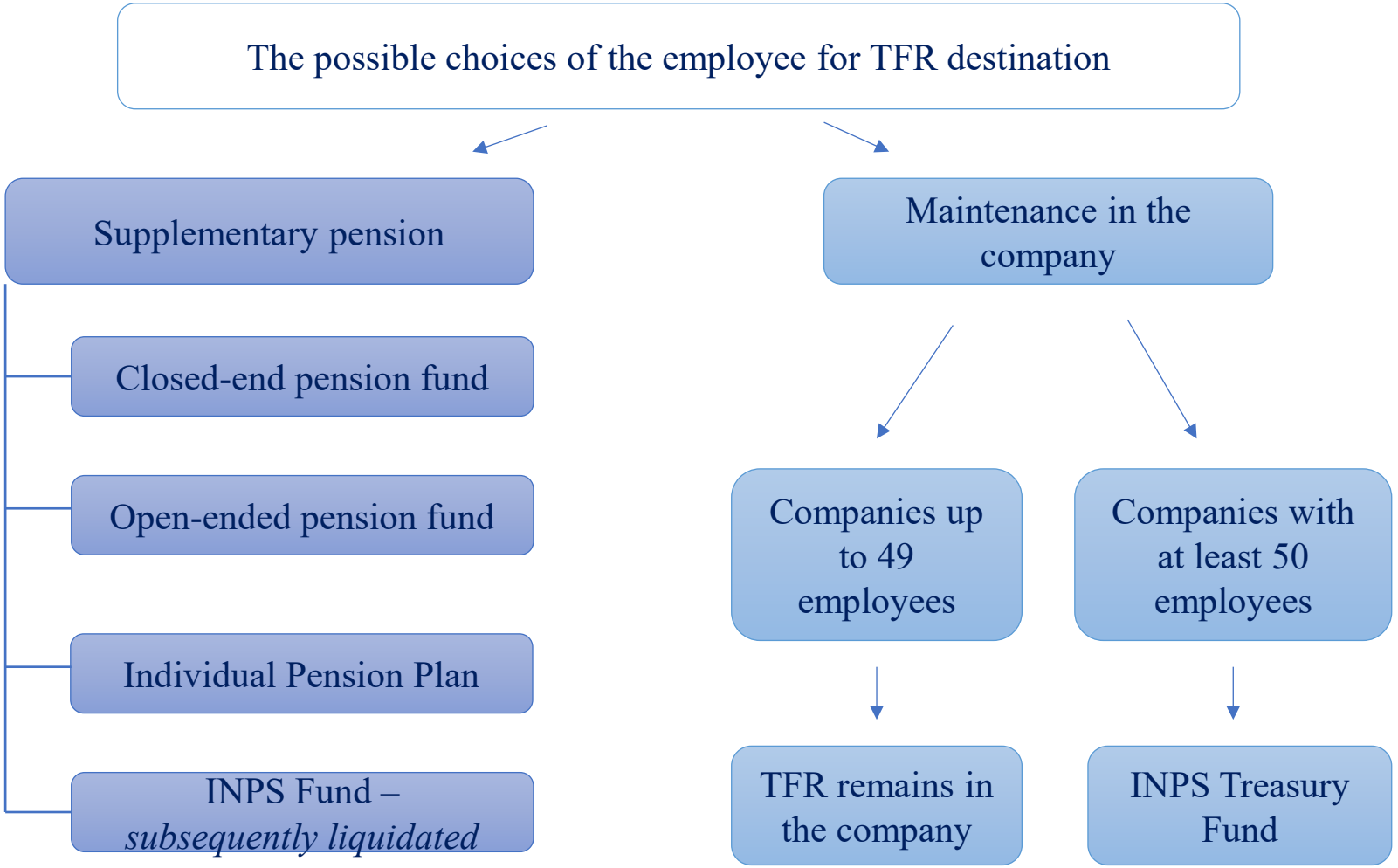
In particular, **employees can choose**:

a) **to confer TFR to a supplementary pension form** (this decision becomes irrevocable);

b) **to maintain TFR in the company**, in the form of deferred remuneration (the choice may be revoked later); in this case, two situations must be distinguished:

1. if the employee works in a company that employs up to 49 employees, **the subsequent TFR continues** to be set aside at the company;
2. if, on the other hand, the employee works in a company with at least 50 employees, **the subsequent TFR is transferred** by the employer to the State Treasury fund for the disbursement of TFR, established at INPS (*Istituto Nazionale per la Previdenza Sociale*).

TFR Reform in Italy



TFR Classification according to IAS 19

From 1 January 2007 the company must:

- Continue to recognise the obligation for the shares **accrued at 31/12/2006** according to the rules of the defined benefit plans.

  *This means that the company must assess the obligation for employee **benefits through the use of actuarial techniques** and must determine the total amount of actuarial gains and losses and the portion of these to be accounted for*;

- Recognize the obligation for the shares accruing **from 01/01/2007**, due to the supplementary pension or to the **INPS Treasury Fund**, on the basis of the contributions due in each reporting period.

  ***In this case it is not necessary to make actuarial assumptions**, moreover it is not even necessary to proceed with the financial discounting of the obligation towards the pension fund or INPS being the maturity of the same less than 12 months.*

TFR Classification according to IAS 19

TFR Classification according to IAS 19			
Typology		**Characteristics**	**IAS 19 classification**
TFR accrued until 31 December 2006		Actuarial and investment risk fall on the company	Defined **benefit** plans
TFR accrued from 1 January 2007 for companies with at least 50 employees		Actuarial and investment risk **don't fall on the company**	Defined **contribution** plans
TFR accrued from 1 January 2007 in companies with less than 50 employees	Option to allocate TFR to **forms of supplementary pension**	Actuarial and investment risk **don't fall on the company**	Defined **contribution** plans
	Option to keep TFR in the company	Actuarial and investment risk fall on the company	Defined **benefit** plans

IAS 19 – *Other long-term employee benefits* *par. 153-157*

Other long-term employee benefits include items such as the following, if **not expected to be settled wholly before twelve months** after the end of the annual reporting period in which the employees render the related service: [IAS 19.153]

- ✓ *long-term paid absences such as long-service or sabbatical leave;*
- ✓ *jubilee or other long-service benefits;*
- ✓ *long-term disability benefits;*
- ✓ *profit-sharing and bonuses; and*
- ✓ *deferred remuneration.*

The measurement of other long-term employee benefits is **not usually subject to the same degree of uncertainty as the measurement of post-employment benefits**. For this reason, this Standard requires a **simplified method of accounting for other long-term employee benefits**. Unlike the accounting required for post-employment benefits, **this method does not recognise remeasurements in other comprehensive income**. [IAS 19.154]

IAS 19 – *Other long-term employee benefits* *par. 153-157*

Recognition and measurement

For **other long-term employee benefits**, **an entity shall recognise the net total of the following amounts in profit or loss,** except to the extent that another IFRS requires or permits their inclusion in the cost of an asset: [IAS 19.156]

a) service cost*;*

b) net interest on the net defined benefit liability *(asset); and*

c) remeasurements of the net defined benefit liability *(asset).*

One form of other long-term employee benefit is **long-term disability benefit**. If the level of benefit depends on the length of service, an obligation arises when the service is rendered. **Measurement of that obligation reflects the probability that payment will be required and the length of time for which payment is expected to be made**. If the level of benefit is the same for any disabled employee regardless of years of service, the expected cost of those benefits is recognised when an event occurs that causes a long-term disability. [IAS 19.157]

IAS 19 – *Termination benefits*

par. 159-171

This Standard deals with termination benefits separately from other employee benefits because **the event that gives rise to an obligation** is **the termination of employment rather than employee service**.

Termination benefits result from *either an entity's decision to terminate the employment or an employee's decision to accept an entity's offer of benefits in exchange for termination of employment*. [IAS 19.159]

IAS 19 – *Termination benefits*

par. 159-171

Recognition

An entity shall recognise a liability and expense for termination benefits **at the earlier of the following dates**: [IAS 19.165]

a) when the entity can no longer withdraw the offer of those benefits; and

b) when the entity recognises costs for a restructuring that is within the scope of IAS 37 and involves the payment of termination benefits.

For termination benefits payable **as a result of an employee's decision** to accept an offer of benefits in exchange for the termination of employment, the time when an entity can no longer withdraw the offer of termination benefits is the earlier of: [IAS 19.166]

a) when the employee accepts the offer; and

b) when a restriction (e.g. a legal, regulatory or contractual requirement or other restriction) on the entity's ability to withdraw the offer takes effect. This would be when the offer is made, if the restriction existed at the time of the offer.

Cont'd

IAS 19 – *Termination benefits*

par. 159-171

Recognition

For termination benefits payable **as a result of an entity's decision** to terminate an employee's employment, the entity can no longer withdraw the offer when the entity has communicated to the affected employees a plan of termination meeting all of the following criteria: [IAS 19.167]

a) Actions required to complete the plan indicate *that it is unlikely that significant changes to the plan will be made*.

b) The plan *identifies the number of employees whose employment is to be terminated, their job classifications or functions and their locations* (but the plan need not identify each individual employee) *and the expected completion date*.

c) The plan *establishes the termination benefits that employees will receive in sufficient detail* that employees can determine the type and amount of benefits they will receive when their employment is terminated.

When an entity recognises termination benefits, the entity may also have to account for a plan amendment or a curtailment of other employee benefits. [IAS 19.168]

IAS 19 – *Termination benefits*

par. 159-171

Measurement

An entity shall measure termination benefits on initial recognition, and shall measure and **recognise subsequent changes**, in accordance with the nature of the employee benefit, provided that **if the termination benefits are an enhancement to post-employment benefits, the entity shall apply the requirements for post-employment benefits**. Otherwise: [IAS 19.169]

a) if the termination benefits **are expected to be settled wholly before twelve months** after the end of the annual reporting period in which the termination benefit is recognised, the entity shall apply the requirements for *short-term employee benefits*.

b) if the termination benefits **are not expected to be settled wholly before twelve months** after the end of the annual reporting period, the entity shall apply the requirements for *other long-term employee benefits*.

IAS 19 – *Termination benefits*

par. 159-171

Termination benefits do not include employee benefits resulting from termination of employment **at the request of the employee** without an entity's offer, or as a result of mandatory retirement requirements, because those benefits are post-employment benefits. Some entities provide a lower level of benefit for termination of employment at the request of the employee (in substance, a post-employment benefit) than for termination of employment at the request of the entity.

The difference between the benefit provided for termination of employment at the request of the employee and a higher benefit provided at the request of the entity is a termination benefit. [IAS 19.160]

Amendments to IAS 19

In June 2011, the IASB approved a series of amendments to IAS 19, which were applied from 01/01/2013.

The most important changes, which mainly involve post-employment benefits, are summarized in the following table.

Actuarial gains and losses	The so-called ***actuarial gains and losses*** must be **recognized in the balance sheet** as adjustments to equity and not in the annual cost recognized in the income statement.
Elimination of Corridor Approach option	The Corridor Approach provided for the possibility of not recognising cumulative actuarial gains and losses if these were less than the greater of: • 10% of the present value of the obligation at the end of the prior reporting period; • 10% of the fair value of any plan assets at the end of the prior reporting period.

Amendments to IAS 19

Discount	The expected **annual rate of return** on the provisioned assets must be assumed to be equal to the **annual discount rate adopted in the actuarial valuation**. The effect on liability of changes made to the programme shall be recognised in the income statement in full in the year in which it is determined.
Structure of the annual cost to be recognised in the financial statements	The cost will be divided into two components: - ***service cost***, which must be considered an operational or financial cost; - ***net interest cost***.
Disclosure to be included in the financial statements	The disclosure to be provided in the financial statements is broader and more complex than in the past, in order to present a clear vision of how employee benefits have been determined.

Amendments to IAS 19

Finally, **Regulation (EU) 2019/402 of 13 March 2019** applied some amendments to IAS 19 *Employee Benefits*.

- **Objective**: To clarify that, after the change, reduction or termination of the defined benefit plan, **the company should apply the updated assumptions from the restatement of its net defined benefit liability (asset) for the remainder of the reporting period**.

Employee Benefits – example

Annual salary	50.000,00
Annual salary revaluation	4,0%
Contract duration (no. years)	5
At the end of the contract the employee will receive a percentage of the annual salary accrued in the last year, for each year worked.	
This amount is in percentage equal to:	2,0%
Discount rate	5,0%

Counts

Salary Last Year	**60.832,65**	50.000,00	*	(1,04^5)
Benefit for each year	**1.216,65**			

Benefits accrued annually

Year	**1**	**2**	**3**	**4**	**5**
Current year benefits	1.216,65	1.216,65	1.216,65	1.216,65	1.216,65
Total Benefits	**1.216,65**	**2.433,31**	**3.649,96**	**4.866,61**	**6.083,26**

Example taken from Ipsoa Book, pp. 267-268

Employee Benefits – example

Analysis of change in Year 3

		Total cumulative benefit (not discounted)	*Formula*	*Discount coefficient*	*Values*
A	**Present value of the obligation at the end of year 3**	3.649,96	*Discounting of A for 3 years at discount rate*	1,157625	**3.152,97**
B	**Present value of the obligation at the end of year 2**	2.433,31	*Discounting of A for 2 years at discount rate*	1,1025	**2.207,08**
C	**Change (A - B)**				**945,89**
D	**Interest Cost (*1)**		*Present Value Year 2 * Discount rate*		**110,35**
E	**Current Service Cost (*2)**		*(C - D)*		**835,54**

(*1) Interest Cost represents an 'interest rate' equal to the revaluation of the fund accumulated at the beginning of the period
(*2) Current Service Cost represents a sort of 'real benefit' accrued by the employee during the reporting period

Example taken from Ipsoa Book, pp. 267-268

Employee Benefits – Recalculated example

Annual salary	100.000,00
Annual salary revaluation	3,0%
Contract duration (no. years)	5
At the end of the contract the employee will receive a percentage of the annual salary accrued in the last year, for each year worked.	
This amount is in percentage equal to:	2,5%
Discount rate	5,0%

Counts

Salary Last Year	**115.927,41**	100.000,00	*	(1,03^5)
Benefit for each year	**2.898,19**			

Benefits accrued annually

Year	**1**	**2**	**3**	**4**	**5**
Current year benefits	2.898,19	2.898,19	2.898,19	2.898,19	2.898,19
Total Benefits	**2.898,19**	**5.796,37**	**8.694,56**	**11.592,74**	**14.490,93**

Example taken from Ipsoa Book, pp. 267-268

Feedback summary – Proposed amendments to IAS 19

4 Feedback summary—Proposed amendments to IAS 19 *Employee Benefits*

Background

Users said defined benefit plan disclosures made by entities applying IAS 19 are often inadequate to meet their needs. These disclosures often contain insufficient information about how defined benefit plans affect future cash flows, and unnecessarily detailed information of limited use, such as comprehensive sensitivity analysis. Users also highlighted challenges with communication effectiveness.

At the same time, entities said employee benefit disclosures were onerous to prepare. Entities agreed that information about cash flow effects was important and would be less onerous to prepare than many of the detailed disclosures that were of limited relevance to users.

The IASB proposed replacing the disclosure requirements in IAS 19 with a new set of requirements applying the proposed Guidance. These proposals included:

- creating overall and specific disclosure objectives that describe user information needs and require an entity to exercise judgement about what to disclose to meet those needs;
- requiring an entity to disclose quantitative breakdowns of the amounts in the primary financial statements;
- requiring an entity to disclose information about how the defined benefit obligation is expected to affect future cash flows; and
- removing the requirement for a detailed assumption-by-assumption sensitivity analysis.

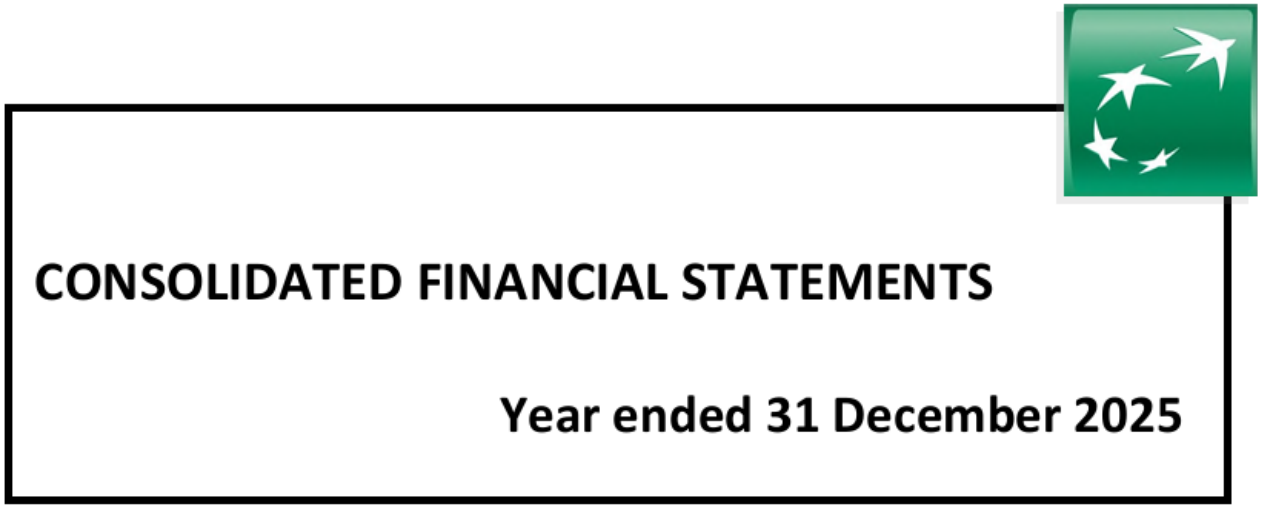
The IASB discussed the feedback on these proposals at its February 2022 and May 2022 meetings.

Summary of feedback and IASB's response

The IASB decided against proceeding with any further work on the disclosure requirements in IAS 19 because:

- feedback from preparers—including the results of the fieldwork—suggests applying the proposed amendments to IAS 19 would be unlikely to result in significant improvements to the information provided;
- targeted improvements to IAS 19 would necessitate further work—for example, to develop items of information to meet the specific disclosure objectives for short-term employee benefits, defined contribution plans, other long-term employee benefits and termination benefits;
- applying the disclosure requirements in IAS 19 already results in an entity indirectly providing information that helps users assess future cash flows associated with defined benefit plans; and
- any further work on the disclosure requirements in IAS 19 would be unlikely to meet the prioritisation criteria set by the IASB in its Third Agenda Consultation.

Employee Benefits: bank financial statements



BNP Paribas Consolidated Financial Statements 2025

Balance sheet at
31 December 2025

In millions of euros, at	Notes	31 December 2025	31 December 2024
ASSETS			
Cash and balances at central banks		211,330	182,496
Financial instruments at fair value through profit or loss			
Securities	4.a	321,293	267,357
Loans and repurchase agreements	4.a	254,310	225,699
Derivative financial instruments	4.a	274,625	322,631
Derivatives used for hedging purposes	4.b	20,017	20,851
Financial assets at fair value through equity			
Debt securities	4.c	77,940	71,430
Equity securities	4.c	1,420	1,610
Financial assets at amortised cost			
Loans and advances to credit institutions	4.e	26,259	31,147
Loans and advances to customers	4.e	897,358	900,141
Debt securities	4.e	151,687	146,975
Remeasurement adjustment on interest-rate risk hedged portfolios		(2,335)	(758)
Investments and other assets related to insurance activities	5.c	305,471	286,849
Current and deferred tax assets	4.i	5,746	6,215
Accrued income and other assets	4.j	167,788	174,147
Equity-method investments	4.k	6,950	7,862
Property, plant and equipment and investment property	4.l	53,601	50,314
Intangible assets	4.l	4,583	4,392
Goodwill	4.m	7,133	5,550
Assets held for sale	8.e	7,805	-
TOTAL ASSETS		**2,792,981**	**2,704,908**
LIABILITIES			
Deposits from central banks		4,401	3,366
Financial instruments at fair value through profit or loss			
Securities	4.a	98,487	79,958
Deposits and repurchase agreements	4.a	357,947	304,817
Issued debt securities and subordinated debt	4.a	129,279	104,934
Derivative financial instruments	4.a	252,726	301,953
Derivatives used for hedging purposes	4.b	28,493	36,864
Financial liabilities at amortised cost			
Deposits from credit institutions	4.g	69,938	66,872
Deposits from customers	4.g	1,075,564	1,034,857
Debt securities	4.h	173,933	198,119
Subordinated debt	4.h	34,468	31,799
Remeasurement adjustment on interest-rate risk hedged portfolios		(9,811)	(10,696)
Current and deferred tax liabilities	4.i	3,336	3,657
Accrued expenses and other liabilities	4.j	143,059	136,955
Liabilities related to insurance contracts	5.d	261,223	247,699
Financial liabilities related to insurance activities	5.c	21,500	19,807
Provisions for contingencies and charges	4.n	10,193	9,806
Liabilities associated with assets held for sale	8.e	6,072	-
TOTAL LIABILITIES		**2,660,808**	**2,570,767**
EQUITY			
Share capital, additional paid-in capital and retained earnings		*117,787*	*118,957*
Net income for the period attributable to shareholders		*12,225*	*11,688*
Total capital, retained earnings and net income for the period attributable to shareholders		**130,012**	**130,645**
Changes in assets and liabilities recognised directly in equity		(4,499)	(2,508)
Shareholders' equity		**125,513**	**128,137**
Minority interests	8.b	**6,660**	**6,004**
TOTAL EQUITY		**132,173**	**134,141**
TOTAL LIABILITIES AND EQUITY		**2,792,981**	**2,704,908**

BNP Paribas Consolidated Financial Statements 2025

Profit and Loss Account for the year ended 31 December 2025

In millions of euros	Notes	Year to 31 Dec. 2025	Year to 31 Dec. 2024
Interest income	2.a	71,532	83,020
Interest expense	2.a	(50,329)	(63,496)
Commission income	2.b	17,727	16,196
Commission expense	2.b	(6,022)	(5,495)
Net gain on financial instruments at fair value through profit or loss	2.c	11,283	11,569
Net gain on financial instruments at fair value through equity	2.d	261	209
Net gain on derecognised financial assets at amortised cost		31	55
Net income from insurance activities	5.a	2,383	2,396
of which Insurance revenue		*10,270*	*9,711*
Insurance service expenses		*(8,101)*	*(7,502)*
Investment return		*11,896*	*11,554*
Net finance income or expenses from insurance contracts		*(11,682)*	*(11,367)*
Income from other activities	2.e	22,362	21,922
Expense on other activities	2.e	(18,005)	(17,545)
REVENUES		**51,223**	**48,831**
Operating expenses	2.f	(29,003)	(27,803)
Depreciation, amortisation and impairment of property, plant and equipment and intangible assets	4.l	(2,371)	(2,390)
GROSS OPERATING INCOME		**19,849**	**18,638**
Cost of risk	2.g	(3,350)	(2,999)
Other net losses for risk on financial instruments	2.h	(203)	(202)
OPERATING INCOME		**16,296**	**15,437**
Share of earnings of equity-method entities	4.k	777	701
Net gain on non-current assets	2.i	(56)	(191)
Goodwill	4.m	48	241
PRE-TAX INCOME		**17,065**	**16,188**
Corporate income tax	2.j	(4,207)	(4,001)
NET INCOME		**12,858**	**12,187**
Net income attributable to minority interests		633	499
NET INCOME ATTRIBUTABLE TO EQUITY HOLDERS		**12,225**	**11,688**
Basic earnings per share	8.a	10.29	9.57
Diluted earnings per share	8.a	10.29	9.57

BNP Paribas Consolidated Financial Statements 2025

Notes to the financial statements

1.k EMPLOYEE BENEFITS

Employee benefits are classified into four categories:

- short-term benefits, such as salary, annual leave, incentive plans, profit-sharing and additional payments;
- long-term benefits, including compensated absences, long-service awards, and other types of cash-based deferred compensation;
- termination benefits;
- post-employment benefits, including top-up banking industry pensions and retirement bonuses in France and pension plans in other countries, some of which are operated through pension funds.

- **Short-term benefits**

The Group recognises an expense when it has used services rendered by employees in exchange for employee benefits.

- **Long-term benefits**

These are benefits, other than short-term benefits, post-employment benefits and termination benefits. This relates, in particular, to compensation deferred for more than 12 months and not linked to the BNP Paribas share price, which is accrued in the financial statements for the period in which this compensation is earned.

The actuarial techniques used are similar to those used for defined-benefit post-employment benefits, except that the revaluation items are recognised in the profit and loss account and not in equity.

BNP Paribas Consolidated Financial Statements 2025

Notes to the financial statements

- **Termination benefits**

Termination benefits are employee benefits payable in exchange for the termination of an employee's contract as a result of either a decision by the Group to terminate a contract of employment before the legal retirement age, or a decision by an employee to accept voluntary redundancy in exchange for these benefits. Termination benefits due more than 12- months after the balance sheet date are discounted.

- **Post-employment benefits**

In accordance with IFRS, the BNP Paribas Group draws a distinction between defined-contribution plans and defined-benefit plans.

Defined-contribution plans do not give rise to an obligation for the Group and do not require a provision. The amount of the employer's contributions payable during the period is recognised as an expense.

Only defined-benefit schemes give rise to an obligation for the Group. This obligation must be measured and recognised as a liability by means of a provision.

The classification of plans into these two categories is based on the economic substance of the plan, which is reviewed to determine whether the Group has a legal or constructive obligation to pay the agreed benefits to employees.

Post-employment benefit obligations under defined-benefit plans are measured using actuarial techniques that take demographic and financial assumptions into account.

The net liability recognised with respect to post-employment benefit plans is the difference between the present value of the defined-benefit obligation and the fair value of plan assets (if any).

BNP Paribas Consolidated Financial Statements 2025

Notes to the financial statements

The present value of the defined-benefit obligation is measured on the basis of the actuarial assumptions applied by the Group, using the projected unit credit method. This method takes into account various parameters, specific to each country or Group entity, such as demographic assumptions, the probability that employees will leave before retirement age, salary inflation, a discount rate, and the general inflation rate.

When the value of the plan assets exceeds the amount of the obligation, an asset is recognised if it represents a future economic benefit for the Group in the form of a reduction in future contributions or a future partial refund of amounts paid into the plan.

The annual expense recognised in the profit and loss account under "Salaries and employee benefits", with respect to defined-benefit plans includes the current service cost (the rights vested by each employee during the period in return for service rendered), the net interests linked to the effect of discounting the net defined-benefit liability (asset), the past service cost arising from plan amendments or curtailments, and the effect of any plan settlements.

Remeasurements of the net defined-benefit liability (asset) are recognised in shareholders' equity and are never reclassified to profit or loss. They include actuarial gains and losses, the return on plan assets and any change in the effect of the asset ceiling (excluding amounts included in net interest on the defined-benefit liability or asset).

BNP Paribas Consolidated Financial Statements 2025

Salaries and Employee Benefits

7. SALARIES AND EMPLOYEE BENEFITS

7.a SALARY AND EMPLOYEE BENEFIT EXPENSE

In millions of euros	Year to 31 Dec. 2025	Year to 31 Dec. 2024
Fixed and variable remuneration, incentive bonuses and profit-sharing	14,823	14,066
Employee benefit expense	3,851	3,697
Payroll taxes	464	380
Total salary and employee benefit expense for banking activities (note 2.f)	**19,138**	**18,143**
Salary and employee benefit expense of insurance activities (note 5.b)	899	839
Total salary and employee benefit expense	**20,037**	**18,982**

7.b POST-EMPLOYMENT BENEFITS

IAS 19 distinguishes between two categories of plans, each handled differently depending on the risk incurred by the entity. When the entity is only committed to paying a fixed amount, stated as a percentage of the beneficiary's annual salary, for example, to an external entity handling payment of the benefits based on the assets available for each plan member, it is described as a defined-contribution plan. Conversely, when the entity's obligation is to manage the financial assets funded through the collection of contributions from employees and to bear the cost of benefits itself or to guarantee the final amount subject to future events, it is described as a defined-benefit plan. The same applies if the entity entrusts management of the collection of premiums and payment of benefits to a separate entity but retains the risk arising from management of the assets and/or from future changes in the benefits.

BNP Paribas Consolidated Financial Statements 2025

Salaries and Employee Benefits

- **Main defined-contribution pension plans for Group entities**

The BNP Paribas Group has implemented over the past few years a wide campaign of converting defined-benefit plans into defined-contribution plans.

Thus, in France, the BNP Paribas Group pays contributions to mandatory state and complementary pension schemes. BNP Paribas SA and certain subsidiaries have set up a complementary defined-contribution pension plan under a company-wide agreement. Under this plan, employees will receive an annuity or a lump sum on retirement in addition to the pension paid by mandatory schemes.

Since defined-benefit plans have been closed to new employees in most countries outside France, they are offered the benefit of joining defined-contribution pension plans.

In Italy, the plan introduced by BNL is funded by employer contributions (4.5% of salaries) and employee contributions (2% of salaries). Employees can also make additional voluntary contributions.

In the United Kingdom, the employer contributes 12% of salaries for the majority of employees; employees can make additional voluntary contributions.

The amount paid into defined-contribution retirement plans for the year ended 31 December 2025 was EUR 839 million, compared with EUR 828 million for the year ended 31 December 2024.

The breakdown by major contributors is determined as follows:

Contribution amount In millions of euros	Year to 31 Dec. 2025	Year to 31 Dec. 2024
France	371	383
Italy	111	110
UK	78	74
Türkiye	53	50
Luxembourg	32	31
USA	29	29
Hong Kong	28	30
Others	137	121
TOTAL	**839**	**828**

BNP Paribas Consolidated Financial Statements 2025

Salaries and Employee Benefits

- **Main defined-benefit pension plans for Group entities and indemnities payable on retirement**

- Defined-benefit plans

In Belgium, BNP Paribas Fortis funds a defined-benefit plan, based on final salary and number of years of service, for its management and employees who joined the bank before its pension plans were harmonised on 1 January 2002. Actuarial liabilities under this scheme are pre-funded at 92% at 31 December 2025 (compared with 95% at 31 December 2024) through insurance companies.

BNP Paribas Fortis senior managers joining before 1 January 2015 are covered by a top-up pension plan, paying a lump sum based on the number of years of service and final salary. This plan is pre-funded at 101% at 31 December 2025 (compared with 100% at 31 December 2024) through insurance companies.

In Belgium, employees benefit from a defined-contribution scheme with a legal obligation for the employer to guarantee a minimum return on financial assets invested. Thus, a provision was recognised for these schemes, as this guarantee is not entirely covered by the insurance company.

In Switzerland, liabilities relate to top-up pension plans based on the principle of defined-contribution schemes with guaranteed returns, paying an annuity under pre-defined terms. These schemes are managed by a foundation. At 31 December 2025, obligations were 109% covered by financial assets, compared with 105% at 31 December 2024.

In the United Kingdom, defined-benefit pension plans (pension funds) still exist but are closed to new employees. Under these plans, the defined pension is generally based on final salary and number of years of service. Pension schemes are managed by independent management bodies (Trustees). At 31 December 2025, obligations for all United Kingdom entities were 125% covered by financial assets, compared with 124% at 31 December 2024.

In France, BNP Paribas pays a top-up banking industry pension arising from rights acquired to 31 December 1993 by retired employees and BNP active employees in service at that date. At 31 December 2025, the Group's residual obligations for these employees were recognised on the balance sheet in full.

The defined-benefit plans previously granted to some Group senior managers have all been closed to new employees and converted into top-up type schemes. The amounts allocated to beneficiaries, subject to their presence within the Group at retirement, were fixed when these schemes were closed. At 31 December 2025, these pension plans were funded at 565% through insurance companies (442% at 31 December 2024).

BNP Paribas Consolidated Financial Statements 2025

Salaries and Employee Benefits

In Türkiye, the main pension plan, that replaces the state pension scheme, offers guarantees exceeding the minimal legal requirements. Liabilities under this plan are funded by financial assets held by a trust external to the Group. At the end of 2025, these financial assets exceed the accounting value of the related liabilities and this accounting surplus is not recognised as an asset by the Group, the scheme's responsibilities should eventually be transferred to the Turkish State with all its financial liabilities and assets.

In the United States, main defined-benefit pension plans are based on annual vesting rights to a lump sum comprising a pension expressed as a percentage of annual frozen salary and paying interest at a pre-defined rate. These plans are closed to new entrants and do not offer new vesting rights. At 31 December 2025, the obligation was 83% covered by financial assets, (85% at 31 December 2024).

In Germany, liabilities are mainly related to defined-benefit pension plans, closed to new employees. Under these plans, the defined pension is generally based on the number of years of service and final salary. They offer the payment of an annuity under pre-defined terms. At 31 December 2025, the obligation was 72% covered by financial assets, (72% at 31 December 2024).

Following the AXA IM acquisition by the Group as at 1st July 2025, the defined-benefit pension plans of the concerned entities have been included in the accounting process of the Group. The obligations are mainly in Switzerland, United Kingdom, France, Belgium and Germany, and are 96% covered by financial assets at 31 December 2025.

- Other post-employment benefits

Group employees also receive various other contractual post-employment benefits, such as indemnities payable on retirement, determined according to minimal legal requirements (Labour Code, collective agreements) or according to specific company-level agreements.

In France, the obligations for these benefits are funded through a contract held with a third-party insurer. At 31 December 2025, this obligation was 131% covered by financial assets, compared with 129% at 31 December 2024.

In other countries, the obligations of the Group related to other post-employment benefits are mainly concentrated in Italy, where vested rights up to 31 December 2006 were frozen.

BNP Paribas Consolidated Financial Statements 2025

Salaries and Employee Benefits

- **Obligations under defined-benefit pension plans and indemnities payable on retirement**

- Assets and liabilities recognised on the balance sheet

In millions of euros, at 31 December 2025	Defined-benefit obligation arising from wholly or partially funded plans	Defined-benefit obligation arising from unfunded plans	Present value of defined-benefit obligation	Fair value of plan assets	Fair value of reimburse-ment rights [1]	Effect of asset ceiling	Net obligation	of which asset recognised in the balance sheet for defined-benefit plans	of which net assets of defined-benefit plans	of which fair value of reimburse-ment rights	of which obligation recognised in the balance sheet for defined-benefit plans
Belgium	2,707		2,707	(217)	(2,411)		79	(2,413)	(2)	(2,411)	2,492
UK	1,033		1,033	(1,292)		16	(243)	(243)	(243)		
Switzerland	1,280		1,280	(1,392)		130	18				18
France	784	39	823	(1,102)	(27)		(306)	(396)	(369)	(27)	90
USA	130	1	131	(109)			22				22
Türkiye	341	31	372	(344)		3	31				31
Italy		111	111				111				111
Germany	119	57	176	(126)			50	(15)	(15)		65
Others	302	41	343	(245)	(1)	3	100	(15)	(14)	(1)	115
TOTAL	**6,696**	**280**	**6,976**	**(4,827)**	**(2,439)**	**152**	**(138)**	**(3,082)**	**(643)**	**(2,439)**	**2,944**
Total without non current assets held for sale	**6,696**	**276**	**6,972**	**(4,827)**	**(2,439)**	**152**	**(142)**	**(3,082)**	**(643)**	**(2,439)**	**2,940**
Total non current assets held for sale	**-**	**4**	**4**	**-**	**-**	**-**	**4**	**-**	**-**	**-**	**4**

[1] The reimbursement rights are principally found on the balance sheet of the Group's insurance subsidiaries and associated companies - notably AG Insurance with respect to BNP Paribas Fortis' defined-benefit plans - to hedge their commitments to other Group entities that were transferred to them to cover the post-employment benefits of certain employee categories.

In millions of euros, at 31 December 2024	Defined-benefit obligation arising from wholly or partially funded plans	Defined-benefit obligation arising from unfunded plans	Present value of defined-benefit obligation	Fair value of plan assets	Fair value of reimburse-ment rights [1]	Effect of asset ceiling	Net obligation	of which asset recognised in the balance sheet for defined-benefit plans	of which net assets of defined-benefit plans	of which fair value of reimburse-ment rights	of which obligation recognised in the balance sheet for defined-benefit plans
Belgium	2,691	15	2,706	(183)	(2,456)		67	(2,457)	(1)	(2,456)	2,524
UK	1,082		1,082	(1,337)			(255)	(255)	(255)		
Switzerland	1,212		1,212	(1,276)			(64)	(68)	(68)		4
France	811	47	858	(1,114)			(256)	(355)	(355)		99
USA	145	1	146	(124)			22				22
Türkiye	346	32	378	(347)		1	32				32
Italy		139	139				139				139
Germany	130	47	177	(127)			50	(6)	(6)		56
Others	314	49	363	(254)	(1)	2	110	(11)	(10)	(1)	121
TOTAL	**6,731**	**330**	**7,061**	**(4,762)**	**(2,457)**	**3**	**(155)**	**(3,152)**	**(695)**	**(2,457)**	**2,997**

[1] The reimbursement rights are principally found on the balance sheet of the Group's insurance subsidiaries and associated companies - notably AG Insurance with respect to BNP Paribas Fortis' defined-benefit plans - to hedge their commitments to other Group entities that were transferred to them to cover the post-employment benefits of certain employee categories.

BNP Paribas Consolidated Financial Statements 2025

Salaries and Employee Benefits

- Changes in the present value of the defined-benefit obligation including assets held for sale

In millions of euros	Year to 31 Dec. 2025	Year to 31 Dec. 2024
Present value of defined-benefit obligation at start of period	**7,061**	**7,167**
Current service cost	190	193
Interest cost	232	226
Past service cost	(14)	(18)
Settlements	(7)	(7)
Actuarial (gains)/losses on change in demographic assumptions	6	(1)
Actuarial (gains)/losses on change in financial assumptions	(166)	(142)
Actuarial (gains)/losses on experience gaps	128	194
Actual employee contributions	25	25
Benefits paid directly by the employer	(69)	(103)
Benefits paid from assets/reimbursement rights	(382)	(483)
Exchange rate (gains)/losses on obligation	(187)	10
(Gains)/losses on obligation related to changes in the consolidation scope	159	-
Present value of defined-benefit obligation at end of period	**6,976**	**7,061**

BNP Paribas Consolidated Financial Statements 2025

Salaries and Employee Benefits

- Changes in the fair value of plan assets and reimbursement rights including assets held for sale

	Plan assets		Reimbursement rights	
In millions of euros	Year to 31 Dec. 2025	Year to 31 Dec. 2024	Year to 31 Dec. 2025	Year to 31 Dec. 2024
Fair value of assets at start of period	**4,762**	**4,674**	**2,457**	**2,503**
Expected return on assets	157	148	77	77
Settlements	(7)	(8)		
Actuarial gains/(losses) on assets	116	88	(73)	21
Actual employee contributions	14	14	11	11
Employer contributions	53	54	98	98
Benefits paid from assets	(224)	(226)	(158)	(257)
Exchange rate gains/(losses) on assets	(182)	22		
Gains/(losses) on assets related to changes in the consolidation scope	138	(4)	27	4
Fair value of assets at end of period	**4,827**	**4,762**	**2,439**	**2,457**

BNP Paribas Consolidated Financial Statements 2025

Salaries and Employee Benefits

- Components of the cost of defined-benefit plans

In millions of euros	Year to 31 Dec. 2025	Year to 31 Dec. 2024
Service costs	**176**	**176**
Current service cost	190	193
Past service cost	(14)	(18)
Settlements	-	1
Net financial expense	**(1)**	**7**
Interest cost	232	226
Expected return on asset ceiling	1	6
Interest income on plan assets	(157)	(148)
Interest income on reimbursement rights	(77)	(77)
Total recognised in "Salary and employee benefit expense"	**175**	**183**

- Other items recognised directly in equity

In millions of euros	Year to 31 Dec. 2025	Year to 31 Dec. 2024
Actuarial (losses)/gains on plan assets or reimbursement rights	43	109
Actuarial (losses)/gains of demographic assumptions on the present value of obligations	(6)	1
Actuarial (losses)/gains of financial assumptions on the present value of obligations	166	142
Experience (losses)/gains on obligations	(128)	(194)
Variation of the effect of assets limitation	(136)	165
Total of other items recognised directly in equity	**(61)**	**223**

BNP Paribas Consolidated Financial Statements 2025

Salaries and Employee Benefits

- Main actuarial assumptions used to calculate obligations

In the Eurozone, United Kingdom and United States, the Group discounts its obligations using the yields of high quality corporate bonds, with a term consistent with the duration of the obligations.

The ranges of rates used are as follows:

In %	31 December 2025		31 December 2024	
	Discount rate	Compensation increase rate (1)	Discount rate	Compensation increase rate (1)
Belgium	2.50% / 4.20%	2.80% / 4.30%	2.60% / 3.60%	3.10% / 3.80%
UK	4.10% / 5.60%	2.00% / 3.75%	4.80% / 5.50%	2.00% / 3.60%
France	2.80% / 4.00%	1.90 % / 4.10%	2.80% / 3.40%	2.00 % / 4.10%
Switzerland	1.10% / 1.30%	1,25% / 1,80%	0.90% / 1.00%	1,75% / 1,80%
USA	4.90% / 5.00%	NA	4.90% / 5.20%	NA
Italy	3.10% / 3.40%	2.40% / 3.10%	2.90% / 3.20%	2.60% / 3.50%
Germany	2.40% / 4.40%	1.80% / 2.80%	3.00% / 3.60%	2.00% / 2.70%
Türkiye	29.80%	26.00%	30.50%	26.25%

(1) Including price increases (inflation)

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Average discount rates weighted by obligation amounts are as follows:

- in the Eurozone: 3.45% at 31 December 2025 for a weighted average duration of 8.6 years (3.21% at 31 December 2024 for a weighted average duration of 9.2 years);
- in the United Kingdom: 5.57% at 31 December 2025 for a weighted average duration of 12.3 years (5.44% at 31 December 2024 for a weighted average duration of 13.6 years);
- in Switzerland: 1.30% at 31 December 2025 for a weighted average duration of 12.7 years (1% at 31 December 2024 for a weighted average duration of 12.9 years).

The impact of a 100bps change in discount rates on the present value of post-employment benefit obligations is as follows:

Change in the present value of obligations In millions of euros, at	31 December 2025		31 December 2024	
	Discount rate -100bps	Discount rate +100bps	Discount rate -100bps	Discount rate +100bps
Belgium	212	(150)	243	(181)
UK	133	(109)	156	(126)
France	88	(75)	94	(80)
Switzerland	179	(142)	175	(139)
USA	14	(11)	16	(13)
Italy	7	(7)	9	(8)
Germany	25	(21)	28	(22)
Türkiye	15	(13)	15	(12)

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Salaries and Employee Benefits

Inflation assumptions used for the valuations of the Group obligations are determined locally depending on the monetary area, except for the Eurozone for which the assumption is determined centrally.

Average discount rates weighted by obligation amounts are as follows:

- in the Eurozone: 1.97% at 31 December 2025 (2.06% at 31 December 2024);
- in the United Kingdom: 2.52% at 31 December 2025 (3.08% at 31 December 2024);
- in Switzerland: 0.90% at 31 December 2025 (1.10% at 31 December 2024).

The impact of a +100bp increase in inflation rates on the present value of post-employment benefit obligations is as follows:

Change in the present value of obligations In millions of euros, at	31 December 2025 Inflation rate +100bp	31 December 2024 Inflation rate +100bp
Belgium	109	121
UK	72	94
France	100	106
Switzerland	10	10
Italy	5	6
Germany	17	18
Türkiye	16	15

Variation effects of discount and inflation rates presented above are not cumulative.

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Actual rate of return on plan assets and reimbursement rights over the period

In %	Year to 31 Dec. 2025		Year to 31 Dec. 2024	
	Range of value *(reflecting the existence of several plans in the same country)*	Weighted average rates	Range of value *(reflecting the existence of several plans in the same country)*	Weighted average rates
Belgium	0% / 10.95%	2.00%	-9.80% / 18.60%	3.40%
UK	-6.15% / 3.20%	2.30%	-6.40% / 8.90%	-3.40%
France	-1,45% / 3,15%	3.00%	2.80%	2.80%
Switzerland	1.50% / 6.30%	3.95%	2.10% / 9.30%	6.55%
USA	6.05%	6.05%	2.45%	2.45%
Germany	-5.50% / 5.40%	3.40%	1.85% / 15.90%	11.15%
Türkiye	34.60%	34.60%	35.95%	35.95%

- Breakdown of plan assets

In %	31 December 2025						31 December 2024					
	Shares	Governmental bonds	Non-Governmental bonds	Real-estate	Deposit account	Others	Shares	Governmental bonds	Non-Governmental bonds	Real-estate	Deposit account	Others
Belgium	8%	47%	15%	1%	3%	26%	8%	46%	20%	1%	0%	25%
UK	7%	56%	28%	0%	1%	8%	7%	58%	27%	0%	1%	7%
France[1]	11%	54%	20%	11%	3%	1%	12%	64%	13%	9%	2%	0%
Switzerland	29%	0%	25%	22%	4%	20%	30%	0%	26%	20%	3%	21%
USA	18%	13%	64%	1%	3%	1%	20%	26%	49%	0%	5%	0%
Germany	21%	53%	0%	0%	1%	25%	18%	54%	0%	0%	1%	27%
Türkiye	0%	81%	0%	18%	1%	0%	0%	73%	0%	18%	8%	1%
Others	12%	19%	17%	2%	1%	49%	11%	24%	13%	2%	2%	48%
GROUP	**12%**	**41%**	**20%**	**7%**	**3%**	**17%**	**12%**	**43%**	**20%**	**6%**	**2%**	**17%**

[1] In France, the breakdown of plan assets includes the breakdown of the general fund of the insurance company through which the Group's obligations are partly funded.

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The Group introduced an asset management governance for assets backing defined-benefit pension plan commitments, the main objectives of which are the management and control of the risks in terms of investment.

It sets out investment principles, in particular, by defining an investment strategy for plan assets, based on financial objectives and risk management, to specify the way in which plan assets have to be managed, via financial management servicing contracts.

The investment strategy is based on an assets and liabilities management analysis that should be realised at least every three years for plans with assets in excess of EUR 100 million.

- **Post-employment healthcare benefits**

The Group offers some healthcare benefit plans for retired employees, mainly in Belgium.

The present value of post-employment healthcare benefit obligations stood at EUR 71 million at 31 December 2025, compared with EUR 75 million at 31 December 2024.

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Salaries and Employee Benefits

7.c OTHER LONG-TERM BENEFITS

BNP Paribas offers its employees various long-term benefits, mainly long-service awards, the ability to save up paid annual leave in time savings accounts, and certain guarantees protecting them in the event they become incapacitated. The net provision amounted to EUR 466 million at 31 December 2025 (EUR 465 million at 31 December 2024).

As part of the Group's variable compensation policy, annual deferred compensation plans are set up for certain high-performing employees or pursuant to special regulatory frameworks. Under these plans, payment is deferred over time and is subject to the performance achieved by the business lines, divisions and Group.

Since 2013, BNP Paribas has introduced a Group loyalty scheme with a cash payment, at the end of a three-year to four-year vesting period, which fluctuates according to the Group's intrinsic performance. The aim of this loyalty scheme is to make different categories of managerial staff partners in the Group's development and profitability objectives. These personnels are representative of the Group's talent and the breadth of its managerial framework i.e. senior managers, managers in key positions, line managers and experts, high-potential managers, high-performing young executives with good career development prospects and key contributors to the Group's results.

The amounts allocated under this plan are linked to changes in the Group's operational performance over the duration of the plan (for 80%) and to the achievement of the Group's Corporate Social Responsibility (CSR) targets (for 20%). These ten targets are in line with the four pillars on which the Group's CSR policy is based. In addition, the final payment is subject to continuous service within the Group between the grant date and the payment date, provided that the Group's operating income and pre-tax income for the year prior to payment are strictly positive. For employees subject to special regulatory frameworks, this loyalty scheme is adjusted in accordance with the CRD European Directive.

The net obligation related to deferred compensation plans and loyalty schemes amounts to EUR 1,449 million at 31 December 2025 (EUR 1,152 million at 31 December 2024).

In millions of euros, at	31 December 2025	31 December 2024
Net provisions for other long-term benefits	1,915	1,617
Asset recognised in the balance sheet under the other long-term benefits	(86)	(92)
Obligation recognised in the balance sheet under the other long-term benefits	2,001	1,709

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Salaries and Employee Benefits

7.d TERMINATION BENEFITS

BNP Paribas has implemented a number of voluntary redundancy plans and headcount adaptation plans for employees who meet certain eligibility criteria. The obligations to eligible active employees under such plans are provided for as soon as a bilateral agreement or a bilateral agreement proposal for a particular plan is made.

These provisions are presented in note 4.n.

4.n PROVISIONS FOR CONTINGENCIES AND CHARGES

- **Provisions for contingencies and charges by type**

In millions of euros, at	31 December 2024	Net additions to provisions	Provisions used	Changes in value recognised directly in equity	Effect of movements in exchange rates and other movements	31 December 2025
Provisions for employee benefits	6,543	1,980	(1,481)	50	(80)	7,012
of which post-employment benefits *(note 7.b)*	2,997	194	(242)	54	(63)	2,940
of which post-employment healthcare benefits *(note 7.b)*	75	4	(3)	(4)	(1)	71
of which provision for other long-term benefits *(note 7.c)*	1,709	613	(408)		87	2,001
of which provision for voluntary departure, early retirement plans, and headcount adaptation plan *(note 7.d)*	328	59	(209)		(4)	174
of which provision for share-based payments *(note 7.e)*	1,434	1,110	(619)		(99)	1,826
Provisions for home savings accounts and plans	35	8	-		-	43
Provisions for credit commitments *(note 2.g)*	1,055	113	(53)		(72)	1,043
Provisions for litigations	905	266	(168)		7	1,010
Other provisions for contingencies and charges	1,268	111	(314)		20	1,085
Total provisions for contingencies and charges	**9,806**	**2,478**	**(2,016)**	**50**	**(125)**	**10,193**

The provisions for litigations include in particular:

- EUR 399 million in provisions for mortgage loans in Swiss franc or indexed to the Swiss franc in Poland at 31 December 2025, compared with EUR 366 million at 31 December 2024;
- EUR 94 million in provisions for revolving loans granted in Spain on the issue of contractual transparency, constituted during the year;
- EUR 22 million in provisions for loans in foreign currency loans issued by BNP Paribas Personal Finance at 31 December 2025, compared with EUR 38 million at 31 December 2024.

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